

Determinants of the Gender Earnings Gap in Canada: Evidence from the 2021 Census

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August 11, 2026

1 Introduction

The gender wage gap remains a persistent feature of the Canadian labour market. Although women have made substantial gains in educational attainment and increasingly participate in the labour force, significant differences in earnings between men and women remain. Understanding the factors associated with these differences is important for evaluating the extent to which observed earnings disparities reflect differences in individual and labour market characteristics and for informing policies aimed at promoting greater equality in pay.

This paper examines the average earnings difference between men and women in Canada using data from the 2021 Canadian Census. I estimate a standard human capital earnings model incorporating demographic, family, and labour market characteristics, including education, age, marital status, presence and age of children, full-time weeks worked, immigration status, industry, occupation, visible minority status, an Indigenous indicator, class of worker, and province of residence. I then use Oaxaca and Gelbach decomposition methods to examine the extent to which differences in these observable characteristics account for the overall earnings gap between men and women. To extend my analysis, I analyze the additional earnings difference Indigenous women face.

All analyses are conducted using Stata 19.5. I find that women earn, on average, 36.6% less than men in the base model. After accounting for observable individual, family, and labour market characteristics, the estimated difference decreases to 24.6%. These results demonstrate that differences in observable characteristics account for a substantial portion of the average gender earnings gap, while a substantial difference remains unexplained by the factors included in the analysis. The findings provide a descriptive assessment of the gender earnings gap in Canada and highlight the importance of considering differences in labour market and demographic characteristics when examining disparities in earnings between men and women.

2 Data & Methodology

2.1 Empirical Model

My specified model is estimated as follows

$$\begin{aligned} \ln(earn_i) = & \beta_0 + \beta_1 Female_i + \beta_2 Married_i + \beta_3 FullTime_i + \beta_4 Age_i \\ & + \beta_5 Age_i^2 + \beta_6 Immig_i + \beta_7 Npr_i + \beta_8 Indig_i \\ & + \sum_{j=1}^3 \gamma_j KidAgeGroup_{ji} + \sum_{j=1}^{12} \delta_j Educ_{ji} + \sum_{j=1}^{18} \theta_j Industry_{ji} \\ & + \sum_{j=1}^{25} \mu_j Occupation_{ji} + \sum_{j=1}^{12} \lambda_j Vismin_{ji} + \sum_{j=1}^5 \rho_j Cow_{ji} + \sum_{j=1}^{10} \kappa_j Pr_{ji} + \varepsilon_i \end{aligned} \quad (1)$$

where:

- $\ln(earn_i)$ is the natural logarithm of earnings, where earnings are defined as wages

and salaries reported in the 2021 Canadian Census. The logarithmic transformation is used because it is the functional form implied by human capital theory.

- $Female_i$ is the main variable of interest and is a binary indicator equal to 1 if the individual is female and 0 otherwise. The parameter associated with $Female_i$, β_1 , is the parameter of interest.
- $Married_i$ is included as a covariate because marital status may be associated with earnings and may differ systematically between men and women. It is a binary indicator equal to 1 if the individual is married or in a common-law relationship and 0 otherwise.
- $FullTime_i$ is a binary indicator of full-time weeks worked, equal to 1 if the individual worked full-time weeks in 2020 and 0 otherwise. Full-time weeks worked is included because men and women may differ in their attachment to the labour market and hours worked. For example, women may undertake a greater share of domestic labour, which may affect their labour supply and earnings.
- Age_i is constructed from a categorical age variable by assigning each age category its midpoint.
- Age_i^2 is the squared value of Age_i and is included to capture a non-linear relationship between age and earnings. This allows the effect of age on earnings to vary across the life cycle and captures the possibility that earnings gains associated with labour market experience diminish with age.
- $Immig_i$ is a binary indicator for immigrant status, equal to 1 if the individual is an immigrant and 0 otherwise. Immigration is added to the model to remove variation associated with immigrant status from my earnings gap.
- Npr_i is a binary indicator for non-permanent resident status, equal to 1 if the individual is a non-permanent resident and 0 otherwise. Non-permanent resident status is added to the model to remove variation associated with non-permanent resident status from my earnings gap.
- $Indig_i$ is a binary indicator for Indigenous identity, equal to 1 if the individual identifies as Indigenous and 0 otherwise. Indigenous identity is included since $Vismin_i$ does not include an Indigenous dummy variable. This allows the reference group in $Vismin_i$ to be interpreted as members who are not a visible minority and are not Indigenous.
- $KidAgeGroup_i$ consists of three binary indicator variables identifying individuals whose youngest child is under age 1, age 2–5, or age 6–14. The reference group consists of individuals without children or whose youngest child is 15 or older. These groups are combined because individuals whose youngest child is 15 or older are likely to face fewer childcare and parenting responsibilities than those with younger children, making them comparable to individuals without young children.
- $Educ_i$ is a vector of education dummy variables with 13 categories. The reference group consists of individuals who have no certificate, diploma, or degree. Education

categories are not grouped to distinguish earnings differences associated with different degrees and types of educational attainment (e.g., trades, medicine).

- *Industry_i* is a vector of industry dummy variables with 19 categories. The reference group is agriculture, forestry, fishing and hunting. Industry controls account for differences in earnings associated with the industries in which individuals work and allow the analysis to distinguish the gender earnings gap from differences in industry composition between men and women.
- *Occupation_i* is a vector of occupation dummy variables with 26 categories. The reference group is legislative and senior managers. Occupation controls account for differences in earnings associated with the types of occupations in which individuals work and allow the analysis to distinguish the gender earnings gap from differences in occupational composition between men and women.
- *Vismin_i* is a vector of visible minority dummy variables with 13 categories. The reference group consists of individuals who are not members of a visible minority group. Visible minority status is included to account for earnings differences associated with racialized group membership and to ensure that differences in the composition of these groups do not drive the estimated gender earnings gap.
- *Cow_i* is a vector of class of worker dummy variables with 6 categories, capturing differences in employment and self-employment status. The reference group is employees. Class of worker is included because earnings may differ systematically between employees and self-employed individuals, and the distribution of these employment arrangements may differ by gender.
- *Pr_i* is a vector of province/territory of current residence dummy variables with 11 categories. The reference group is Newfoundland and Labrador. Province and territory controls are included to account for geographic differences in earnings and allow the analysis to distinguish the gender earnings gap from potential differences in the geographic distribution of men and women.

2.2 Estimation Sample

I restrict the sample to individuals aged 16 to 62 who have positive, non-missing wages greater than 1. This age range is determined by the categorical measurement of age, which is recoded using category midpoints. I select the age categories that include the youngest age of 15 and the oldest age of 64 to align with Statistics Canada’s definition of the labour force, which excludes individuals under the age of 15. Because age is recorded categorically, recoding the age categories using their midpoints results in a final sample age range of 16 to 62. I include both full-time and part-time workers, as Table 1 indicates that women are more likely than men to work part-time, which may explain differences in earnings. I also include both employed and self-employed individuals, as Table 1 shows that men are more likely to be self-employed, and again may explain differences in earnings. Finally, I exclude observations with missing values for any variables included in the specified model.

3 Results

3.1 Summary Statistics

Table 1: Summary Statistics

Variable	Overall Mean	Min	Max	Number of Obs	Male Mean	Female Mean
Individual Characteristics						
Annual earnings (\$)	59,700	1,000	967,998	324,579	70,948	48,280
Log earnings	10.51	6.91	13.78	324,579	10.70	10.33
Age (years)	40.59	16	62	324,579	40.72	40.45
Full-time	0.81	0	1	324,579	0.88	0.75
Married	0.75	0	1	324,579	0.77	0.74
Kid Age Group 0–1	0.07	0	1	324,579	0.07	0.06
Kid Age Group 2–5	0.13	0	1	324,579	0.14	0.12
Kid Age Group 6–14	0.27	0	1	324,579	0.27	0.27
Immigrant	0.24	0	1	324,579	0.24	0.24
Indigenous	0.04	0	1	324,579	0.04	0.04
Industry						
Construction	0.07	0	1	324,579	0.13	0.02
Manufacturing	0.09	0	1	324,579	0.13	0.05
Retail trade	0.12	0	1	324,579	0.11	0.13
Finance and management of industries	0.05	0	1	324,579	0.04	0.06
Scientific and technical services	0.08	0	1	324,579	0.08	0.07
Educational services	0.08	0	1	324,579	0.05	0.12
Healthcare and social assistance	0.13	0	1	324,579	0.04	0.23
Accommodation and food services	0.06	0	1	324,579	0.05	0.07
Public administration	0.07	0	1	324,579	0.07	0.07
Education						
High school diploma	0.24	0	1	324,579	0.26	0.23
Non-apprenticeship trades	0.05	0	1	324,579	0.06	0.04
Apprenticeship certificate	0.04	0	1	324,579	0.07	0.01
College program (1–2 years)	0.10	0	1	324,579	0.09	0.12
College program (>2 years)	0.08	0	1	324,579	0.08	0.09
Bachelor's degree	0.22	0	1	324,579	0.19	0.25
Master's degree	0.07	0	1	324,579	0.07	0.08
Occupation						
Middle management	0.11	0	1	324,579	0.12	0.09
Business and finance professionals	0.04	0	1	324,579	0.03	0.05
Administrative occupations	0.04	0	1	324,579	0.01	0.08
Admin support and logistics	0.05	0	1	324,579	0.03	0.07
Natural and applied science professionals	0.05	0	1	324,579	0.08	0.03
Health professionals	0.04	0	1	324,579	0.01	0.06
Law, education, and social professions	0.07	0	1	324,579	0.05	0.10
Sales representatives	0.07	0	1	324,579	0.06	0.08
Sales support	0.09	0	1	324,579	0.07	0.11
Technical trades	0.07	0	1	324,579	0.14	0.00
General trades	0.04	0	1	324,579	0.08	0.01
Processing and manufacturing	0.04	0	1	324,579	0.06	0.03
Visible Minority Status						
Not a visible minority	0.75	0	1	324,579	0.75	0.74
South Asian	0.07	0	1	324,579	0.07	0.07
Chinese	0.04	0	1	324,579	0.04	0.05
Black	0.03	0	1	324,579	0.03	0.04
Class of Worker						
Employee	0.93	0	1	324,579	0.91	0.95
Self-employed (incorporated, paid help)	0.03	0	1	324,579	0.04	0.01
Province						
Quebec	0.24	0	1	324,579	0.24	0.25
Ontario	0.39	0	1	324,579	0.39	0.39
Alberta	0.12	0	1	324,579	0.12	0.12
British Columbia	0.13	0	1	324,579	0.13	0.13

Notes: Values are rounded to two decimal places. For the full summary statistics table, see Appendix A1. Binary variables are reported as proportions. For conciseness, some categories representing 3% or less of the sample are omitted from the main table. Some industry/occupation labels are shortened for readability.

Table 1 presents summary statistics for the sample, including overall means and the corresponding averages for men and women. Men earn an average of \$70,948 annually, compared with \$48,280 among women. This substantial raw difference motivates the analysis, which examines the factors that may account for the observed gender earnings gap.

Baseline characteristics, including age, marital status, parenthood, immigration status, visible minority status, Indigenous identity, and province of residence, are relatively similar across groups. However, a more pronounced difference emerges in full-time weeks worked, as 88% of men worked full-time weeks, compared to 75% of women.

Gender differences are also evident across industries and occupations. Men are more concentrated in construction and manufacturing, with 13% working in each industry, compared with 2% and 5% of women, respectively. In contrast, women are more concentrated in health care and social assistance, where 23% of women work compared with 4% of men. Similar patterns emerge across occupations. Men are more concentrated in technical and general trades, which together account for 22% of male workers, as well as middle management occupations (12%). Women are more concentrated in sales support (11%), law, education, and social professions (10%), and administrative occupations (8%). Differences also emerge in class of worker. 95% of women are employees, compared with 91% of men, while men are more likely to be self-employed (4% of men compared to 1% of women).

Women in the sample also tend to have higher levels of educational attainment. A larger share of women have completed college or university programs, particularly bachelor’s degrees. For example, 25% of women have completed a bachelor’s degree, compared with 19% of men. In contrast, men are more likely to have completed apprenticeship certificates (7% compared with 1% of women).

Overall, the summary statistics reveal notable gender differences in full-time weeks worked, industry, occupation, class of worker, and educational attainment, while many demographic characteristics are relatively similar across the two groups. These differences suggest that differences in labour market characteristics may account for part of the observed earnings gap and motivate the regression analysis that follows.

3.2 Regression Results

Table 2 presents the regression results. The table reports four specifications: the base model, the specified model given by Equation 1, and separate estimates of the specified model for men and women. The gender-specific specifications allow me to examine whether the returns to the covariates differ between men and women. The coefficients on the additional controls in Table 2 are not reported for conciseness. For estimates on the additional controls, refer to Appendix A2.

The coefficient of interest is that on female. In the base model, the coefficient on female is -0.366, indicating that women in the sample earn approximately 36.6% less than men on average. After controlling for demographic, educational, and labour market characteristics, the estimated earnings gap decreases to 24.6%. Full-time weeks worked has the largest positive association with earnings among the covariates. In the specified column, the coefficient on fulltime is 0.876, suggesting that workers who worked full-time weeks earn 87.6% more than workers who did not work full-time weeks. The fulltime coefficients are 0.913 for men and 0.846 for women, suggesting that men who worked full-time weeks in 2020 earn 91.3%

Table 2: OLS Regression Results

Dependent Variable:	lnearn			
Model:	Base	Specified	Male	Female
<i>Variables</i>				
female	-0.366*** (0.004)	-0.246*** (0.003)		
married		0.142*** (0.004)	0.254*** (0.007)	0.059*** (0.005)
fulltime		0.876*** (0.004)	0.913*** (0.007)	0.846*** (0.005)
age		0.087*** (0.001)	0.089*** (0.001)	0.081*** (0.001)
agesq		-0.001*** (0.000)	-0.001*** (0.000)	-0.001*** (0.000)
immig		-0.127*** (0.005)	-0.119*** (0.006)	-0.132*** (0.006)
indig		-0.088*** (0.007)	-0.103*** (0.010)	-0.073*** (0.010)
npr		-0.367*** (0.012)	-0.347*** (0.017)	-0.403*** (0.018)
kidagegroup 0-1		-0.202*** (0.006)	0.010 (0.008)	-0.497*** (0.009)
kidagegroup 2-5		-0.005 (0.004)	0.014** (0.006)	-0.049*** (0.006)
kidagegroup 6-14		0.008** (0.003)	0.028*** (0.005)	-0.026*** (0.005)
<i>Additional Controls</i>				
Education	No	Yes	Yes	Yes
Occupation	No	Yes	Yes	Yes
Industry	No	Yes	Yes	Yes
Class of Worker	No	Yes	Yes	Yes
Province	No	Yes	Yes	Yes
Visible Minority	No	Yes	Yes	Yes
<i>Fit statistics</i>				
Observations	324,579	324,579	163,520	161,059
R ²	0.027	0.528	0.523	0.527

*Signif. Codes: ***: 0.01, **: 0.05, *: 0.1*

Notes: The samples used in the baseline and specified models are identical. However, the number of observations differs between the male and female columns because these estimates are based on subsamples of the main sample. Estimates for the additional controls are reported in Appendix A2.

more than men who did not work full-time weeks, while women who worked full-time weeks in 2020 earn 84.6% more than women who did not. Although the association is large for both groups, its magnitude is greater for men. The age coefficients being positive and age squared being negative across all models indicate that earnings are concave in age. Earnings therefore increase with age at younger ages, but at a decreasing rate, eventually reaching a peak before declining. The coefficients are also relatively similar across men and women, suggesting that the age-earnings profile is similar across genders, despite differences in the overall level of earnings.

The male and female columns show that the returns to several covariates differ substantially between men and women. The largest differences are observed for marriage and parenthood. Married men earn 25.4% more than unmarried men on average, whereas married women only earn 5.9% more than unmarried women. Gender differences are also pronounced for parenthood. Women with a child under the age of 1 earn 49.7% less than women without a child or a child aged 15 or over. In contrast, men with a child under the age of 1 earn approximately 1% more than men without a child or a child aged 15 or over, although this estimate is statistically insignificant. Similarly, women with children between the ages of 2–5 and 6–14 earn 4.9% and 2.6% less than women without a child or a child aged 15 and over, respectively. In contrast, men with children in these age groups earn 1.4% and 2.8% more than men without a child or a child aged 15 and over, respectively. Overall, these estimates point to a consistent gender difference in the association between parenthood and earnings. Having children is positively or negligibly associated with men’s earnings but negatively associated with women’s earnings.

Immigration status is negatively associated with earnings for both genders. Immigrant men earn 11.9% less than non-immigrant men, while immigrant women earn 13.2% less than non-immigrant women. The magnitudes are relatively similar, suggesting that immigration status has a negative association with earnings for both groups, although the association is somewhat larger for women. Non-permanent residence status has a stronger negative association with earnings for both men and women compared with immigrant status at -34.7% and -40.3% respectively. Indigenous identity is also negatively associated with earnings. Indigenous workers earn 8.8% less than non-Indigenous workers, with a particularly pronounced association among men (10.3% for men compared to 7.3% for women).

I use Oaxaca and Gelbach decompositions to examine the extent to which differences in observed characteristics account for the earnings gap and its reduction following the inclusion of controls. Because the estimated associations to several covariates differ between men and women, particularly for marriage and parenthood, I conduct the Oaxaca decomposition using men as the reference group. Each decomposition method has its own trade-offs. The Gelbach decomposition constrains the coefficients to be the same across groups, however, it allows me to discern how each covariate contributes to the wage gap. The Oaxaca decomposition allows the coefficients to differ between men and women, which is important since men and women experience different returns to covariates like marriage and parenthood. However, the Oaxaca decomposition relies on an arbitrary choice of the reference group. Thus, both decomposition methods are used to complement each other.

3.3 Oaxaca Decomposition

Table 3: Oaxaca Decomposition of the Gender Earnings Gap

Component	Coefficient	Std. Error
Male mean log earnings	10.697	(0.003)
Female mean log earnings	10.330	(0.003)
Difference in mean log earnings	0.366***	(0.004)
Explained component	0.138***	(0.004)
Unexplained component	0.228***	(0.004)

*Signif. Codes: ***: 0.01, **: 0.05, *: 0.1.*

Notes: The decomposition uses males as the reference group. The dependent variable is log annual earnings.

Table 4: Explained Component of the Oaxaca Decomposition

Variable Group	Contribution	Std. Error
Married	0.008	(0.000)
Full-time	0.112	(0.002)
Immigrant	0.000	(0.000)
Non Permanent Resident	-0.001	(0.000)
Indigenous Identity	0.000	(0.000)
Age and Age Squared	0.000	
Kid Age Group	0.000	
Industry	0.057	
Education	-0.014	
Occupation	-0.005	
Visible Minority Status	0.001	
Class of Worker	-0.021	
Province	0.001	
Total Explained Change	0.138	

Notes: Dependent variable is log annual earnings. Contributions are rounded to 3 decimal places. Contributions for categorical variables are manually aggregated across their respective dummy variables, and standard errors are not reported for manually aggregated variable groups.

Table 5: Unexplained Component of the Oaxaca Decomposition

Variable Group	Contribution	Std. Error
Marital Status	0.144	(0.006)
Full-time	0.051	(0.007)
Immigrant Status	0.003	(0.002)
Non Permanent Resident Status	0.001	(0.000)
Indigenous Identity	-0.001	(0.001)
Age and Age Squared	0.173	
Kid Age Group	0.051	
Industry	-0.082	
Education	-0.033	
Occupation	-0.036	
Visible Minority Status	-0.019	
Class of Worker	-0.005	
Province	-0.015	
Constant	-0.004	(0.053)
Total Unexplained	0.228	

Notes: Dependent variable is log annual earnings. Contributions are rounded to 3 decimal places. Contributions for categorical variables are manually aggregated across their respective dummy variables, and standard errors are not reported for manually aggregated variable groups.

Table 3 presents the results of the Oaxaca decomposition, using men as the reference group. Because the decomposition uses men as the reference group, the magnitudes of the explained and unexplained components are conditional on this reference-group choice. The overall difference in mean log earnings between men and women is 0.366 log points. Of this difference, 0.138 log points are associated with differences in observed characteristics between men and women, while the remaining 0.228 log points constitute the unexplained component of the decomposition. Thus, differences in the distributions of the observed characteristics included in the model account for 0.138 log points of the mean gender earnings gap, while the remaining 0.228 log points cannot be attributed to the demographic, labour market, and educational characteristics included as controls.

Table 4 further decomposes the explained component into the contributions of individual characteristics. Variable groups containing multiple levels are grouped manually, and standard errors are not reported for manually aggregated variable groups. Detailed results are provided in Appendix A3.

Full-time weeks worked is the largest positive contributor, accounting for 0.112 log points. This indicates that differences in the average number of full-time weeks worked by men and women explain 0.112 log points of the earnings gap. Industry and marital status are the next largest positive contributors, with contributions of 0.057 and 0.008 log points, respectively. The positive contribution of industry indicates that differences in the industries in which men and women work are associated with a wider gender earnings gap. Consequently, accounting for these differences reduces the observed gap. Similarly, differences in marital status contribute modestly to the explained component, accounting for 0.008 log points, suggesting that accounting for differences in marriage reduces the observed gap. Other characteristics, including immigration status, non-permanent resident status, Indigenous identity, age, par-

enthood, visible minority status, and province, contribute relatively little to the explained component.

In contrast, education has a negative contribution of 0.014 log points, indicating that accounting for differences in educational attainment widens the observed gender earnings gap. This finding is consistent with the summary statistics, which show that women in the sample have higher educational attainment than men. Occupation and class of worker also have negative contributions of 0.005 and 0.021 log points, respectively. These results indicate that differences in these characteristics partially offset the portion of the earnings gap associated with observed characteristics; consequently, accounting for the differences widens the gap. Overall, differences in full-time weeks worked, industry, and marital status are the largest positive contributors to the explained component, while differences in education, occupation, and class of worker partially offset the explained gap.

Table 5 decomposes the unexplained component according to differences in the estimated coefficients between men and women. Analogous to Table 4, variable groups containing multiple levels are grouped manually and standard errors are not reported for manually aggregated groups. Detailed results are provided in Appendix A4.

The unexplained component includes differences in the estimated coefficients on observed characteristics between men and women, as well as the difference in the intercepts of the two earnings equations, relative to the male reference group. Within the unexplained component, age and age squared and marital status make the largest positive contributions, at 0.173 and 0.144 log points, respectively. These contributions illustrate that differences in the estimated coefficients associated with age and marital status are positively associated with the unexplained component. In contrast, industry, education, occupation, and visible minority status have negative contributions, partially offsetting the unexplained component.

Overall, the Oaxaca decomposition indicates that differences in observed characteristics account for only part of the gender earnings gap (0.138 log points). The remaining portion is associated with differences in estimated coefficients between men and women, particularly with respect to marital status, age, age squared, and full-time weeks worked. The decomposition therefore demonstrates that differences in observed characteristics alone do not fully account for the gender earnings gap.

3.4 Gelbach Decomposition

Table 6 presents the results of the Gelbach decomposition, which identifies the contribution of each group of control variables to the change in the estimated female coefficient between the restricted and fully specified models. Unlike the Oaxaca decomposition, the Gelbach decomposition does not require selecting one gender as the reference group. Instead, it decomposes the change in the estimated female coefficient associated with the inclusion of groups of control variables. A negative contribution indicates that controlling for the corresponding variable group reduces the magnitude of the negative female coefficient and therefore narrows the estimated gender earnings gap.

Consistent with the Oaxaca decomposition, full-time weeks worked is the largest contributor to the change in the estimated female coefficient, as it accounts for 0.107 log points in the wage gap. This indicates that differences in full-time weeks worked between men and women account for a substantial portion of the observed earnings difference. Industry is

Table 6: Gelbach Decomposition

Variable Group	Contribution	Std. Error
Kid Age Group	0.003	(0.000)
Marital	-0.004	(0.000)
Full-Time	-0.107***	(0.001)
Industry	-0.046***	(0.002)
Education	0.019***	(0.001)
Age and Age Squared	0.000	(0.001)
Occupation	-0.002	(0.002)
Visible Minority	0.000	(0.000)
Class of Worker	0.018***	(0.001)
Immigration	-0.000	(0.000)
Non Permanent Resident	0.001	(0.000)
Province	-0.001***	(0.000)
Indigenous Identity	-0.000***	(0.000)
Total Change	-0.120	(0.003)

*Signif. Codes: ***: 0.01, **: 0.05, *: 0.1.*

Notes: Contributions represent the change in the female coefficient from adding each group of controls. Dependent variable is log annual earnings. Coefficients are rounded to 3 decimal places.

the second-largest contributor, reducing the raw wage gap by 0.046 log points. In contrast, education and class of worker have positive contributions of 0.019 and 0.018 log points, respectively, indicating that controlling for these characteristics widens the estimated gender earnings gap. The relatively small contributions of child age group, age, occupation, visible minority status, immigration, non-permanent resident status, province, and Indigenous identity indicate that controlling for these characteristics has comparably little effect on the estimated female coefficient.

The contribution of marital status is relatively small in the Gelbach decomposition, at 0.004 log points in magnitude. This contrasts with the larger marital status contribution to the explained component of the Oaxaca decomposition (0.008 log points). The difference illustrates that the two decomposition methods capture different aspects of the gender earnings gap. The Gelbach decomposition measures how controlling for marital status changes the estimated female coefficient in the pooled regression, whereas the Oaxaca decomposition separately captures differences in observed characteristics and differences in estimated coefficients between men and women. These gender-specific differences in estimated coefficients are not separately identified by the Gelbach decomposition.

Overall, the Gelbach decomposition indicates that full-time weeks worked and industry are the most important groups of controls in accounting for the change in the estimated gender earnings gap, while education and class of worker act in the opposite direction. The results are broadly consistent with the explained component of the Oaxaca decomposition, particularly in identifying full-time weeks worked and industry as important contributors. A difference arises for marital status. The Gelbach decomposition finds that controlling for marital status has little effect on the pooled female coefficient, while the Oaxaca decomposition identifies a larger coefficient component associated with differences in the estimated relationship between marital status and earnings across genders. This difference highlights

the complementary nature of the two decomposition methods rather than indicating that one method understates or overstates the contribution of marital status.

3.5 Extension: Indigenous Interaction

As an extension, I examine whether the gender earnings gap differs between Indigenous and non-Indigenous workers, with particular attention to the earnings of Indigenous women relative to Indigenous men and non-Indigenous women. To do so, I estimate two models:

$$\ln(earn_i) = \beta_0 + \beta_1 Female_i + \beta_2 Indig_i + \beta_3 (Female_i \times Indig_i) + \varepsilon_i. \quad (2)$$

$$\begin{aligned} \ln(earn_i) = & \beta_0 + \beta_1 Female_i + \beta_2 Indig_i + \beta_3 (Female_i \times Indig_i) + \beta_4 Married_i \\ & + \beta_5 FullTime_i + \beta_6 Age_i + \beta_7 Age_i^2 + \beta_8 Immig_i + \beta_9 Npr_i \\ & + \sum_{j=1}^3 \gamma_j KidAgeGroup_{ji} + \sum_{j=1}^{12} \delta_j Educ_{ji} + \sum_{j=1}^{18} \theta_j Industry_{ji} \\ & + \sum_{j=1}^{25} \mu_j Occupation_{ji} + \sum_{j=1}^{12} \lambda_j Vism_{ji} + \sum_{j=1}^5 \rho_j Cow_{ji} + \sum_{j=1}^{10} \kappa_j Pr_{ji} + \varepsilon_i. \end{aligned} \quad (3)$$

All variables are defined in the same manner as in Equation 1. Equation 2 includes indicators for female and Indigenous identity, as well as their interaction, allowing me to examine differences in earnings across gender and Indigenous identity. Equation 3 adds the same set of covariates included in Equation 1 to determine if differences in the set of covariates explain the observed earnings gap. Together, these specifications allow me to examine how the earnings of Indigenous women differ from those of Indigenous men and non-Indigenous women, both before and after accounting for observed characteristics.

Table 7 presents the results of the extension examining differences in earnings by gender and Indigenous identity. The reference category against which all comparisons are made is non-Indigenous men. In the specification without controls, the female coefficient is -0.369 , differing marginally from the corresponding coefficient in Table 2 (-0.366) because the extension model additionally includes the Indigenous indicator and its interaction with female, which slightly reallocates the earnings differential attributed to gender. Using the coefficient in Table 7, Indigenous women earn 30.2% less than Indigenous men, calculated as the sum of the female coefficient and the female and Indigenous interaction coefficient ($-0.369 + 0.067$). This gap is smaller than the 36.6% raw gender earnings gap in the full sample. Indigenous women also earn 13.4% less than non-Indigenous women, calculated as the sum of the Indigenous coefficient and the female and Indigenous interaction coefficient ($-0.201 + 0.067$).

After introducing the full set of controls, the estimated gender earnings gap among Indigenous men and women decreases to 23.6%, calculated as $-0.247 + 0.011$. Again, this is less than the observed wage gap in my specified model (24.6%) presented in Table 2. The earnings difference between Indigenous and non-Indigenous women also decreases to 8.2%, calculated as $-0.093 + 0.011$. The female and Indigenous interaction coefficient declines substantially from 0.067 to 0.011, suggesting that differences in observed characteristics account

Table 7: OLS Extension Results

Dependent Variable:		lnearn	
Model:	Base	Extension (No Controls)	Extension (With Controls)
<i>Variables</i>			
female	-0.366*** (0.004)	-0.369*** (0.004)	-0.247*** (0.003)
indig		-0.201*** (0.014)	-0.093*** (0.014)
female×indig		0.067*** (0.020)	0.011*** (0.014)
married			0.142*** (0.004)
fulltime			0.876*** (0.004)
age			0.087*** (0.001)
agesq			-0.001*** (0.000)
immig			-0.127*** (0.005)
npr			-0.367*** (0.012)
kidagegroup 0-1			-0.202*** (0.006)
kidagegroup 2-5			-0.005 (0.004)
kidagegroup 6-14			0.008** (0.003)
<i>Additional Controls</i>			
Education	No	No	Yes
Occupation	No	No	Yes
Industry	No	No	Yes
Class of Worker	No	No	Yes
Province	No	No	Yes
Visible Minority	No	No	Yes
<i>Fit statistics</i>			
Observations	324,579	324,579	324,579
R ²	0.027	0.027	0.528

*Signif. Codes: ***: 0.01, **: 0.05, *: 0.1*

Notes: Data taken from 2021 Canadian Census.

for much of the difference in the gender earnings gap between Indigenous and non-Indigenous workers. However, the interaction coefficient remains positive and statistically significant, indicating that a small difference in the gender earnings gap persists after accounting for the observed characteristics included in the model.

Overall, the findings in Table 7 show that Indigenous women earn approximately 13.4% less than non-Indigenous women. However, when controlling for observable labour market characteristics and demographics, the wage gap decreases to 8.2%. This finding provides avenues for future research examining why there remains a significant earnings gap between Indigenous and non-Indigenous women.

4 Conclusion

The gender earnings gap remains persistent in Canada even after accounting for differences in labour market and demographic characteristics. I find that the raw earnings gap between men and women is 36.6%. However, after controlling for observable differences in labour market and demographic characteristics, the estimated gap decreases to 24.6%. My regression results in Table 2 illustrate different returns to covariates, like marriage and parenthood, based on gender. This finding motivates my Oaxaca and Gelbach decompositions, where I find that full-time weeks worked and industry are among the factors that most substantially decreases the observed earnings gap, while other factors like education widen the gap once controlled for. The Oaxaca and Gelbach decompositions produce somewhat different estimates because the two approaches address the choice of reference group differently, highlighting the importance of methodological considerations when interpreting decomposition results

As an extension, I examine the earnings gap between Indigenous and non-Indigenous women. I find an unconditional earnings gap of 13.4%, which decreases to 8.2% after controlling for observable labour market and demographic characteristics. These results suggest that differences in observed characteristics account for a portion of the earnings gap, although a substantial difference remains after conditioning on these factors.

This analysis is correlational rather than causal because the data are cross-sectional and therefore does not support the identification of causal relationships. Consequently, the findings cannot be used to draw definitive conclusions about the effectiveness of specific policies or interventions. However, due to the wage gap observed by Indigenous and non-Indigenous women, future research could extend this analysis by examining earnings gaps across different ethnic and racial groups, allowing for comparisons of whether the magnitude and determinants of earnings disparities vary across groups of women.

Appendix

Table A1: Full Summary Statistics

Variable	Overall Mean	Min	Max	Number of Obs	Male Mean	Female Mean
Individual Characteristics						
Annual earnings (\$)	59,700	1,000	967,998	324,579	70,948	48,280
Log earnings	10.51	6.91	13.78	324,579	10.70	10.33
Age (years)	40.59	16	62	324,579	40.72	40.45
Full-time	0.81	0	1	324,579	0.88	0.75
Married	0.75	0	1	324,579	0.77	0.74
Kid Age Group 0–1	0.07	0	1	324,579	0.07	0.06
Kid Age Group 2–5	0.13	0	1	324,579	0.14	0.12
Kid Age Group 6–14	0.27	0	1	324,579	0.27	0.27
Immigrant	0.24	0	1	324,579	0.24	0.24
Non permanent resident	0.01	0	1	324,579	0.01	0.01
Indigenous	0.04	0	1	324,579	0.04	0.04
Industry						
Agriculture, forestry, fishing	0.02	0	1	324,579	0.02	0.01
Mining	0.01	0	1	324,579	0.02	0.00
Utilities	0.01	0	1	324,579	0.01	0.00
Construction	0.07	0	1	324,579	0.13	0.02
Manufacturing	0.09	0	1	324,579	0.13	0.05
Wholesale trade	0.03	0	1	324,579	0.05	0.02
Retail trade	0.12	0	1	324,579	0.11	0.13
Transportation and warehousing	0.05	0	1	324,579	0.07	0.02
Information and cultural industries	0.02	0	1	324,579	0.02	0.02
Finance and management of industries	0.05	0	1	324,579	0.04	0.06
Real estate and rental and leasing	0.01	0	1	324,579	0.01	0.01
Scientific and technical services	0.08	0	1	324,579	0.08	0.07
Administrative and support	0.03	0	1	324,579	0.04	0.03
Educational services	0.08	0	1	324,579	0.05	0.12
Healthcare and social assistance	0.13	0	1	324,579	0.04	0.23
Arts, entertainment, recreation	0.02	0	1	324,579	0.02	0.02
Accommodation and food services	0.06	0	1	324,579	0.05	0.07
Other services (except public administration)	0.04	0	1	324,579	0.03	0.04
Public administration	0.07	0	1	324,579	0.07	0.07
Education						
No certificate, diploma, or degree	0.08	0	1	324,579	0.10	0.07
High school diploma	0.24	0	1	324,579	0.26	0.23
Non-apprenticeship trades	0.05	0	1	324,579	0.06	0.04
Apprenticeship certificate	0.04	0	1	324,579	0.07	0.01
Program: 3 months–1 year	0.03	0	1	324,579	0.02	0.04
College program (1–2 years)	0.10	0	1	324,579	0.09	0.12
College program (>2 years)	0.08	0	1	324,579	0.08	0.09
University certificate below bachelor	0.03	0	1	324,579	0.03	0.04
Bachelor's degree	0.22	0	1	324,579	0.19	0.25

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Table A1 – Continued

Variable	Overall Mean	Min	Max	Number of Obs	Male Mean	Female Mean
University certificate above bachelor	0.02	0	1	324,579	0.02	0.02
Medicine, dentistry, veterinary, optometry	0.01	0	1	324,579	0.01	0.01
Master's degree	0.07	0	1	324,579	0.07	0.08
Earned doctorate	0.01	0	1	324,579	0.01	0.01
Occupation						
Legislative and senior managers	0.01	0	1	324579	0.02	0.01
Middle management	0.11	0	1	324579	0.12	0.09
Business and finance professionals	0.04	0	1	324579	0.03	0.05
Admin and finance supervisors	0.03	0	1	324579	0.01	0.04
Administrative occupations	0.04	0	1	324579	0.01	0.08
Admin support and logistics	0.05	0	1	324579	0.03	0.07
Natural and applied science professionals	0.05	0	1	324579	0.08	0.03
Natural and applied science technicians	0.03	0	1	324579	0.05	0.01
Health professionals	0.04	0	1	324579	0.01	0.06
Health technicians	0.02	0	1	324579	0.01	0.03
Health support occupations	0.03	0	1	324579	0.01	0.05
Law, education, and social professions	0.07	0	1	324579	0.05	0.10
Public protection and legal support	0.03	0	1	324579	0.02	0.05
Education and protection support	0.02	0	1	324579	0.01	0.03
Arts, culture, sports professionals	0.01	0	1	324579	0.01	0.01
Other arts, culture, sports	0.01	0	1	324579	0.01	0.01
Sales supervisors	0.02	0	1	324579	0.02	0.02
Sales and service occupations	0.03	0	1	324579	0.02	0.03
Sales representatives	0.07	0	1	324579	0.06	0.08
Sales support	0.09	0	1	324579	0.07	0.11
Technical trades	0.07	0	1	324579	0.14	0.00
General trades	0.04	0	1	324579	0.08	0.01
Transport operators	0.01	0	1	324579	0.01	0.00
Transport labourers	0.03	0	1	324579	0.05	0.01
Natural resources and agriculture	0.02	0	1	324579	0.03	0.01
Processing and manufacturing	0.04	0	1	324579	0.06	0.03
Visible Minority Status						
Not a visible minority	0.75	0	1	324,579	0.75	0.74
South Asian	0.07	0	1	324,579	0.07	0.07
Chinese	0.04	0	1	324,579	0.04	0.05
Black	0.03	0	1	324,579	0.03	0.04
Filipino	0.03	0	1	324,579	0.03	0.04
Arab	0.02	0	1	324,579	0.02	0.01
Latin American	0.02	0	1	324,579	0.02	0.02
Southeast Asian	0.01	0	1	324,579	0.01	0.01
West Asian	0.01	0	1	324,579	0.01	0.01
Korean	0.01	0	1	324,579	0.00	0.01
Japanese	0.00	0	1	324,579	0.00	0.00
Visible minority, n.i.e.	0.00	0	1	324,579	0.00	0.00

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Table A1 – Continued

Variable	Overall Mean	Min	Max	Number of Obs	Male Mean	Female Mean
Multiple visible minorities	0.01	0	1	324,579	0.01	0.01
Class of Worker						
Employee	0.93	0	1	324,579	0.91	0.95
Unpaid family worker	0.00	0	1	324,579	0.00	0.00
Self-employed (incorporated, paid help)	0.03	0	1	324,579	0.04	0.01
Self-employed, no paid help (incorporated)	0.01	0	1	324,579	0.02	0.01
Self-employed, no paid help (unincorporated)	0.02	0	1	324,579	0.02	0.02
Self-employed, paid help (unincorporated)	0.01	0	1	324,579	0.01	0.00
Province						
Newfoundland and Labrador	0.01	0	1	324,579	0.01	0.01
Prince Edward Island	0.00	0	1	324,579	0.00	0.00
Nova Scotia	0.02	0	1	324,579	0.02	0.02
New Brunswick	0.02	0	1	324,579	0.02	0.02
Quebec	0.24	0	1	324,579	0.24	0.25
Ontario	0.39	0	1	324,579	0.39	0.39
Manitoba	0.03	0	1	324,579	0.03	0.03
Saskatchewan	0.03	0	1	324,579	0.03	0.03
Alberta	0.12	0	1	324,579	0.12	0.12
British Columbia	0.13	0	1	324,579	0.13	0.13
Northern Canada	0.00	0	1	324,579	0.00	0.00

Notes: Values are rounded to 2 decimal places. Some industry, occupation, and education labels are shortened for readability. Annual earnings are measured in Canadian dollars.

Table A2: OLS Estimates for Additional Controls

Dependent Variable:	lnearn		
Model:	Specified	Male	Female
Education			
High school diploma or equivalent	0.145*** (0.006)	0.132*** (0.007)	0.165*** (0.008)
Non-apprenticeship trades	0.166*** (0.008)	0.179*** (0.010)	0.146*** (0.012)
Apprenticeship certificate	0.268*** (0.009)	0.275*** (0.010)	0.121*** (0.019)
Program: 3 months–1 year	0.179*** (0.009)	0.180*** (0.014)	0.189*** (0.013)
Program: 1–2 years	0.213*** (0.007)	0.204*** (0.009)	0.230*** (0.010)
Program: >2 years	0.273*** (0.007)	0.266*** (0.010)	0.288*** (0.010)

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Table A2 – Continued

Dependent Variable:	lnearn		
Model:	Specified	Male	Female
University certificate below bachelor	0.262*** (0.009)	0.225*** (0.014)	0.299*** (0.013)
Bachelor's degree	0.354*** (0.006)	0.326*** (0.009)	0.383*** (0.009)
University certificate above bachelor	0.422*** (0.011)	0.374*** (0.017)	0.468*** (0.015)
Medicine, dentistry, veterinary, optometry	0.520*** (0.019)	0.587*** (0.031)	0.506*** (0.026)
Master's degree	0.430*** (0.008)	0.410*** (0.011)	0.461*** (0.011)
Earned doctorate	0.612*** (0.015)	0.604*** (0.021)	0.676*** (0.023)
Industry			
Mining	0.843*** (0.016)	0.791*** (0.018)	0.867*** (0.035)
Utilities	0.764*** (0.019)	0.708*** (0.022)	0.840*** (0.036)
Construction	0.255*** (0.013)	0.239*** (0.015)	0.260*** (0.025)
Manufacturing	0.338*** (0.013)	0.321*** (0.015)	0.368*** (0.023)
Wholesale trade	0.394*** (0.014)	0.374*** (0.017)	0.423*** (0.024)
Retail trade	0.153*** (0.013)	0.166*** (0.015)	0.163*** (0.022)
Transportation and warehousing	0.354*** (0.014)	0.344*** (0.016)	0.375*** (0.025)
Information and cultural industries	0.412*** (0.015)	0.401*** (0.019)	0.433*** (0.026)
Finance and management of industries	0.564*** (0.013)	0.559*** (0.018)	0.596*** (0.023)
Real estate and rental and leasing	0.291*** (0.017)	0.256*** (0.022)	0.334*** (0.027)
Scientific and technical services	0.312*** (0.013)	0.322*** (0.016)	0.313*** (0.022)
Administrative and support	0.072*** (0.014)	0.049*** (0.017)	0.129*** (0.023)
Educational services	0.137*** (0.013)	0.054*** (0.018)	0.231*** (0.022)
Healthcare and social assistance	0.222*** (0.013)	0.159*** (0.019)	0.291*** (0.022)
Arts, entertainment, recreation	-0.138*** (0.016)	-0.173*** (0.021)	-0.077*** (0.026)
Accommodation and food services	-0.109*** (0.013)	-0.151*** (0.017)	-0.068*** (0.023)
Other services (except public administration)	0.061*** (0.014)	0.076*** (0.018)	0.090*** (0.023)
Public administration	0.480***	0.376***	0.538***

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Table A2 – Continued

Dependent Variable:	lnearn		
Model:	Specified	Male	Female
	(0.013)	(0.016)	(0.022)
Occupation			
Middle management	−0.389*** (0.013)	−0.419*** (0.015)	−0.327*** (0.022)
Business and finance professionals	−0.469*** (0.014)	−0.483*** (0.018)	−0.418*** (0.023)
Admin and finance supervisors	−0.635*** (0.015)	−0.678*** (0.021)	−0.562*** (0.023)
Administrative occupations	−0.741*** (0.014)	−0.770*** (0.023)	−0.686*** (0.022)
Admin support and logistics	−0.882*** (0.014)	−0.928*** (0.018)	−0.820*** (0.023)
Natural and applied science professionals	−0.395*** (0.013)	−0.426*** (0.016)	−0.323*** (0.024)
Natural and applied science technicians	−0.630*** (0.014)	−0.659*** (0.017)	−0.551*** (0.028)
Health professionals	−0.183*** (0.015)	−0.233*** (0.026)	−0.138*** (0.023)
Health technicians	−0.472*** (0.016)	−0.473*** (0.029)	−0.426*** (0.024)
Health support occupations	−0.729*** (0.015)	−0.792*** (0.030)	−0.698*** (0.024)
Law, education, and social professions	−0.467*** (0.014)	−0.540*** (0.018)	−0.403*** (0.023)
Public protection and legal support	−0.744*** (0.014)	−0.509*** (0.021)	−0.802*** (0.023)
Education and protection support	−0.954*** (0.016)	−0.678*** (0.024)	−1.045*** (0.025)
Arts, culture, sports professionals	−0.766*** (0.017)	−0.819*** (0.022)	−0.679*** (0.027)
Other arts, culture, sports	−1.065*** (0.019)	−1.085*** (0.028)	−1.051*** (0.029)
Sales supervisors	−0.617*** (0.016)	−0.635*** (0.020)	−0.563*** (0.026)
Sales and service occupations	−0.863*** (0.015)	−0.803*** (0.020)	−0.836*** (0.024)
Sales representatives	−0.878*** (0.013)	−0.853*** (0.017)	−0.864*** (0.023)
Sales support	−0.889*** (0.013)	−0.886*** (0.017)	−0.861*** (0.023)
Technical trades	−0.612*** (0.013)	−0.655*** (0.016)	−0.564*** (0.036)
General trades	−0.820*** (0.014)	−0.830*** (0.016)	−0.918*** (0.033)
Transport operators	−0.833*** (0.021)	−0.870*** (0.024)	−0.696*** (0.043)
Transport labourers	−0.962*** (0.015)	−0.956*** (0.017)	−0.993*** (0.032)

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Table A2 – Continued

Dependent Variable:	lnearn		
Model:	Specified	Male	Female
Natural resources and agriculture	−0.887*** (0.017)	−0.858*** (0.020)	−0.955*** (0.034)
Processing and manufacturing	−0.878*** (0.014)	−0.850*** (0.017)	−0.930*** (0.026)
Visible Minority Status			
South Asian	−0.165*** (0.006)	−0.168*** (0.009)	−0.158*** (0.009)
Chinese	−0.169*** (0.007)	−0.223*** (0.011)	−0.110*** (0.010)
Black	−0.101*** (0.008)	−0.178*** (0.012)	−0.039*** (0.011)
Filipino	−0.031*** (0.008)	−0.090*** (0.012)	0.029** (0.011)
Arab	−0.242*** (0.012)	−0.267*** (0.016)	−0.219*** (0.017)
Latin American	−0.093*** (0.011)	−0.119*** (0.016)	−0.065*** (0.015)
Southeast Asian	−0.104*** (0.014)	−0.120*** (0.020)	−0.078*** (0.020)
West Asian	−0.274*** (0.015)	−0.307*** (0.021)	−0.243*** (0.021)
Korean	−0.214*** (0.019)	−0.233*** (0.028)	−0.190*** (0.026)
Japanese	−0.101*** (0.027)	−0.052 (0.042)	−0.116*** (0.034)
Visible minority, n.i.e.	−0.046** (0.020)	−0.066** (0.028)	−0.021 (0.027)
Multiple visible minorities	−0.096*** (0.016)	−0.136*** (0.022)	−0.056*** (0.021)
Class of Worker			
Unpaid family worker	−0.550*** (0.041)	−0.576*** (0.065)	−0.476*** (0.051)
Self-employed (incorporated, paid help)	−0.710*** (0.012)	−0.789*** (0.014)	−0.568*** (0.020)
Self-employed, no paid help (incorporated)	−0.289*** (0.009)	−0.351*** (0.011)	−0.174*** (0.017)
Self-employed, no paid help (unincorporated)	−0.949*** (0.010)	−0.973*** (0.014)	−0.917*** (0.014)
Self-employed, paid help (unincorporated)	−0.549*** (0.016)	−0.544*** (0.019)	−0.604*** (0.030)
Province			
Prince Edward Island	0.056** (0.026)	0.033 (0.037)	0.069* (0.036)
Nova Scotia	0.073*** (0.015)	0.048** (0.021)	0.081*** (0.020)
New Brunswick	0.049*** (0.015)	0.038* (0.022)	0.047** (0.021)

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Table A2 – Continued

Dependent Variable:	lnearn		
Model:	Specified	Male	Female
Quebec	0.139*** (0.012)	0.108*** (0.017)	0.165*** (0.017)
Ontario	0.238*** (0.012)	0.232*** (0.017)	0.234*** (0.017)
Manitoba	0.182*** (0.014)	0.176*** (0.020)	0.176*** (0.019)
Saskatchewan	0.214*** (0.014)	0.191*** (0.020)	0.222*** (0.020)
Alberta	0.289*** (0.012)	0.286*** (0.018)	0.277*** (0.017)
British Columbia	0.277*** (0.012)	0.274*** (0.018)	0.266*** (0.017)
Northern Canada	0.447*** (0.037)	0.348*** (0.053)	0.534*** (0.050)
<i>Fit statistics</i>			
Observations	324,579	163,520	161,059
R ²	0.528	0.523	0.527

*Signif. Codes: ***: 0.01, **: 0.05, *: 0.1*

Notes: The base model is not included in this table since it does not include any of these additional coefficients. Reference group is no certificate, diploma, or degree for education; Agriculture, forestry, fishing and hunting for industry; legislative and senior managers for occupation; individuals who are not members of a visible minority for visible minority status; employee for class of worker; and Newfoundland and Labrador for province. Some industry, occupation, and education labels are shortened for readability.

Table A3: Full Explained Component of the Oaxaca Decomposition

Variable	Contribution	Std. Error
Marital Status	0.008	(0.000)
Full-time	0.112	(0.002)
Kid Age Group 0–1	0.000	(0.000)
Kid Age Group 2–5	0.000	(0.000)
Kid Age Group 6–14	0.000	(0.000)
Age	0.024	(0.004)
Age Squared	-0.025	(0.003)
Immigration	0.000	(0.000)
Indigenous Identity	0.000	(0.000)
Non Permanent Resident Status	-0.001	(0.000)
Mining	0.015	(0.000)
Utilities	0.006	(0.000)
Construction	0.025	(0.002)
Manufacturing	0.023	(0.001)
Wholesale trade	0.008	(0.000)
Retail trade	-0.004	(0.000)
Transportation and warehousing	0.015	(0.001)
Information and cultural industries	0.003	(0.000)
Finance and management of industries	-0.010	(0.001)
Real estate and rental and leasing	0.000	(0.000)

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Table A3 – Continued

Variable	Contribution	Std. Error
Scientific and technical services	0.005	(0.000)
Administrative and support	0.000	(0.000)
Educational services	-0.004	(0.001)
Healthcare and social assistance	-0.029	(0.003)
Arts, entertainment, recreation	0.000	(0.000)
Accommodation and food services	0.003	(0.000)
Other services (except public administration)	0.000	(0.000)
Public administration	0.001	(0.000)
High school diploma	0.005	(0.000)
Non-apprenticeship trades	0.003	(0.000)
Apprenticeship certificate	0.017	(0.001)
Program: 3 months–1 year	-0.003	(0.000)
College program (1–2 years)	-0.006	(0.000)
College program (>2 years)	-0.002	(0.000)
University certificate below bachelor	-0.002	(0.000)
Bachelor’s degree	-0.021	(0.001)
University certificate above bachelor	-0.003	(0.000)
Medicine, dentistry, veterinary, optometry	0.000	(0.000)
Master’s degree	-0.004	(0.000)
Earned doctorate	0.002	(0.000)
Middle management	-0.014	(0.001)
Business and finance professionals	0.008	(0.000)
Admin and finance supervisors	0.016	(0.001)
Administrative occupations	0.050	(0.002)
Admin support and logistics	0.038	(0.001)
Natural and applied science professionals	-0.021	(0.001)
Natural and applied science technicians	-0.022	(0.001)
Health professionals	0.011	(0.001)
Health technicians	0.011	(0.001)
Health support occupations	0.032	(0.001)
Law, education, and social professions	0.027	(0.001)
Public protection and legal support	0.017	(0.001)
Education and protection support	0.011	(0.001)
Arts, culture, sports professionals	0.001	(0.000)
Other arts, culture, sports	0.004	(0.000)
Sales supervisors	-0.001	(0.000)
Sales and service occupations	0.009	(0.001)
Sales representatives	0.019	(0.001)
Sales support	0.041	(0.001)
Technical trades	-0.085	(0.002)
General trades	-0.057	(0.001)
Transport operators	-0.007	(0.000)
Transport labourers	-0.045	(0.001)
Natural resources and agriculture	-0.018	(0.001)
Processing and manufacturing	-0.030	(0.001)
South Asian	-0.001	(0.000)
Chinese	0.001	(0.000)
Black	0.001	(0.000)
Filipino	0.001	(0.000)
Arab	-0.001	(0.000)

Continued on next page

Table A3 – Continued

Variable	Contribution	Std. Error
Latin American	0.000	(0.000)
Southeast Asian	0.000	(0.000)
West Asian	-0.000	(0.000)
Korean	0.000	(0.000)
Japanese	0.000	(0.000)
Visible minority, n.i.e.	0.000	(0.000)
Multiple visible minorities	0.000	(0.000)
Unpaid family worker	0.000	(0.000)
Self-employed (incorporated, paid help)	-0.009	(0.000)
Self-employed, no paid help (incorporated)	-0.008	(0.000)
Self-employed, no paid help (unincorporated)	-0.001	(0.000)
Self-employed, paid help (unincorporated)	-0.003	(0.000)
Prince Edward Island	0.000	(0.000)
Nova Scotia	0.000	(0.000)
New Brunswick	0.000	(0.000)
Quebec	0.000	(0.000)
Ontario	0.000	(0.000)
Manitoba	0.000	(0.000)
Saskatchewan	0.000	(0.000)
Alberta	0.001	(0.000)
British Columbia	0.000	(0.000)
Northern Canada	0.000	(0.000)
Total Explained Change	0.138	

Notes: Dependent variable is log annual earnings. Contributions and standard errors are rounded to 3 decimal places. Some industry, occupation, and education labels are shortened for readability.

Table A4: Full Unexplained Component of the Oaxaca Decomposition

Variable	Contribution	Std. Error
Married	0.144	(0.006)
Full-time	0.051	(0.007)
Kid Age Group 0–1	0.029	(0.001)
Kid Age Group 2–5	0.007	(0.001)
Kid Age Group 6–14	0.015	(0.002)
Age	0.330	(0.071)
Age Squared	-0.157	(0.037)
Immigrant	0.003	(0.002)
Indigenous Identity	-0.001	(0.001)
Non permanent resident status	0.001	(0.000)
Mining	-0.000	(0.000)
Utilities	-0.001	(0.000)
Construction	-0.000	(0.001)
Manufacturing	-0.003	(0.001)
Wholesale trade	-0.001	(0.001)
Retail trade	0.000	(0.004)
Transportation and warehousing	-0.001	(0.001)
Information and cultural industries	-0.001	(0.001)

Continued on next page

Table A4 – Continued

Variable	Contribution	Std. Error
Finance and management of industries	-0.002	(0.002)
Real estate and rental and leasing	-0.001	(0.000)
Scientific and technical services	0.001	(0.002)
Administrative and support	-0.002	(0.001)
Educational services	-0.021	(0.003)
Healthcare and social assistance	-0.030	(0.007)
Arts, entertainment, recreation	-0.002	(0.001)
Accommodation and food services	-0.006	(0.002)
Other services (except public administration)	-0.001	(0.001)
Public administration	-0.012	(0.002)
High school diploma	-0.008	(0.003)
Non-apprenticeship trades	0.001	(0.001)
Apprenticeship certificate	0.002	(0.000)
Program: 3 months–1 year	-0.000	(0.001)
College program (1–2 years)	-0.003	(0.002)
College program (>2 years)	-0.002	(0.001)
University certificate below bachelor	-0.003	(0.001)
Bachelor’s degree	-0.014	(0.003)
University certificate above bachelor	-0.002	(0.001)
Medicine, dentistry, veterinary, optometry	0.001	(0.000)
Master’s degree	-0.004	(0.001)
Earned doctorate	-0.001	(0.000)
Middle management	-0.008	(0.002)
Business and finance professionals	-0.003	(0.001)
Admin and finance supervisors	-0.004	(0.001)
Administrative occupations	-0.006	(0.002)
Admin support and logistics	-0.007	(0.002)
Natural and applied science professionals	-0.003	(0.001)
Natural and applied science technicians	-0.001	(0.000)
Health professionals	-0.006	(0.002)
Health technicians	-0.001	(0.001)
Health support occupations	-0.004	(0.002)
Law, education, and social professions	-0.013	(0.003)
Public protection and legal support	0.015	(0.002)
Education and protection support	0.010	(0.001)
Arts, culture, sports professionals	-0.002	(0.001)
Other arts, culture, sports	0.000	(0.000)
Sales supervisors	-0.001	(0.001)
Sales and service occupations	0.001	(0.001)
Sales representatives	0.001	(0.002)
Sales support	-0.003	(0.003)
Technical trades	0.000	(0.000)
General trades	0.001	(0.000)
Transport operators	0.000	(0.000)
Transport labourers	0.000	(0.000)
Natural resources and agriculture	0.001	(0.000)
Processing and manufacturing	0.002	(0.001)
South Asian	-0.001	(0.001)
Chinese	-0.005	(0.001)
Black	-0.005	(0.001)

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Table A4 – Continued

Variable	Contribution	Std. Error
Filipino	-0.004	(0.001)
Arab	-0.001	(0.000)
Latin American	-0.001	(0.000)
Southeast Asian	0.000	(0.000)
West Asian	-0.001	(0.000)
Korean	0.000	(0.000)
Japanese	0.000	(0.000)
Visible minority, n.i.e.	0.000	(0.000)
Multiple visible minorities	-0.001	(0.000)
Unpaid family worker	0.000	(0.000)
Self-employed (incorporated, paid help)	-0.002	(0.000)
Self-employed, no paid help (incorporated)	-0.002	(0.000)
Self-employed, no paid help (unincorporated)	-0.001	(0.000)
Self-employed, paid help (unincorporated)	0.000	(0.000)
Prince Edward Island	0.000	(0.000)
Nova Scotia	-0.001	(0.001)
New Brunswick	0.000	(0.001)
Quebec	-0.014	(0.006)
Ontario	-0.001	(0.009)
Manitoba	0.000	(0.001)
Saskatchewan	-0.001	(0.001)
Alberta	0.001	(0.003)
British Columbia	0.001	(0.003)
Northern Canada	0.000	(0.000)
Constant	-0.004	(0.053)
Total Unexplained Change	0.228	

Notes: Dependent variable is log annual earnings. Contributions and standard errors are rounded to 3 decimal points. Some industry, occupation, and education labels are shortened for readability.